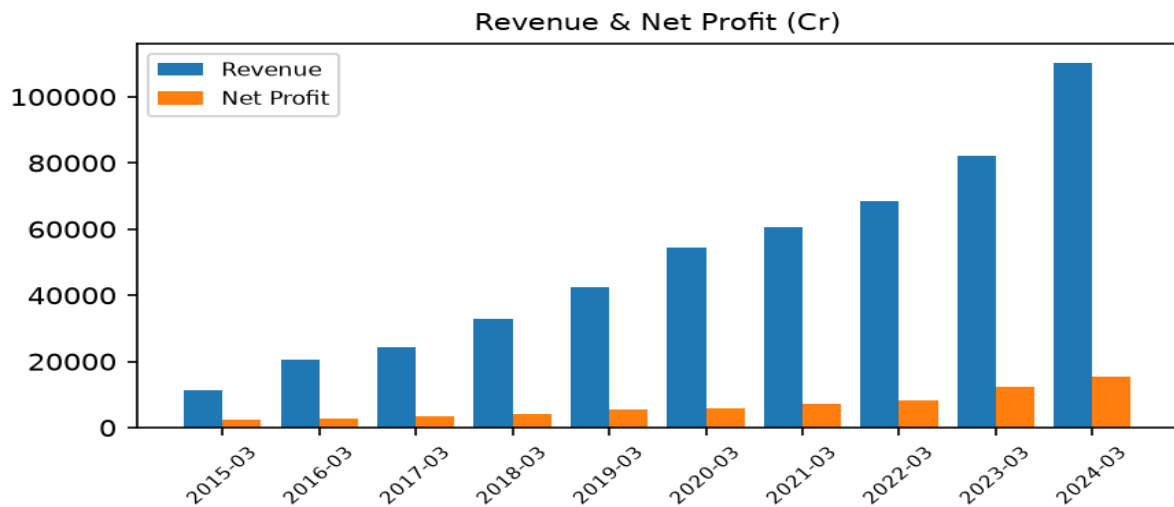


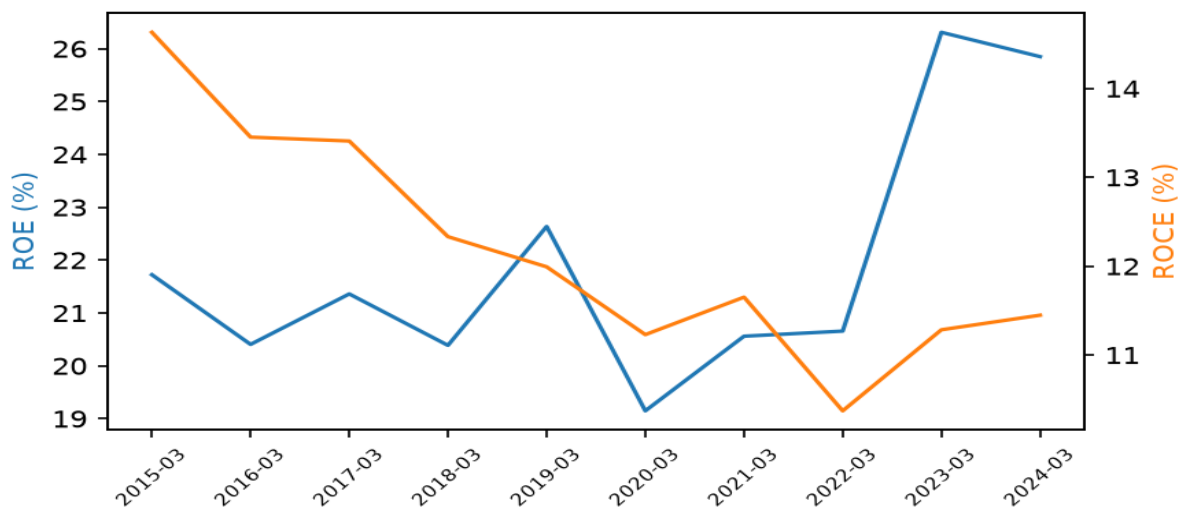
Bajaj Finserv Ltd (BAJAJFINSV)

ROE 25.9%	ROCE 11.4%	Net Profit Margin 14.1%
D/E 4.8	Revenue CAGR 5yr 21.0%	Free Cash Flow (Cr) -79634.0

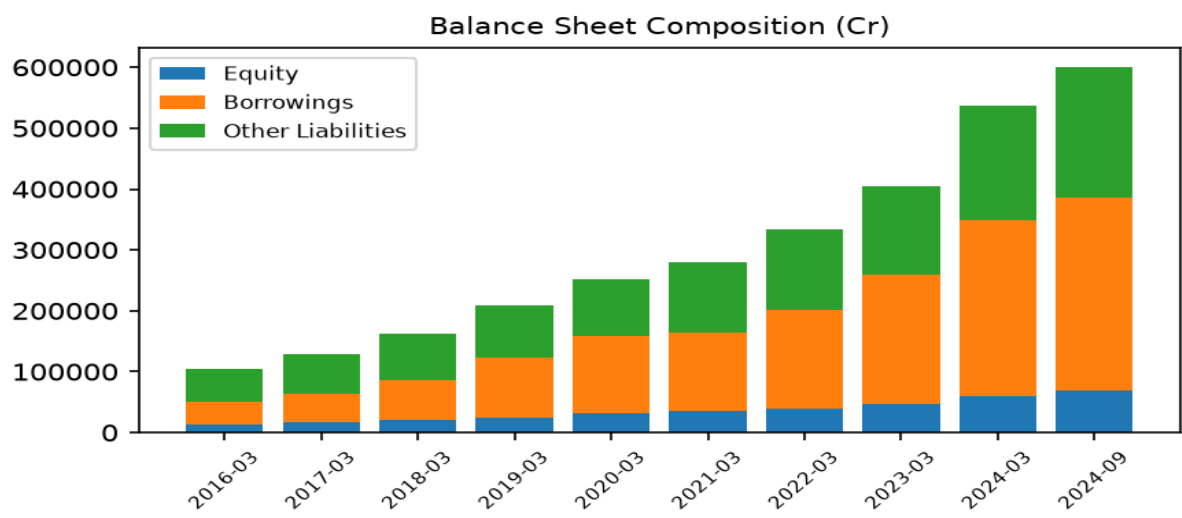
Revenue & Net Profit (10yr)



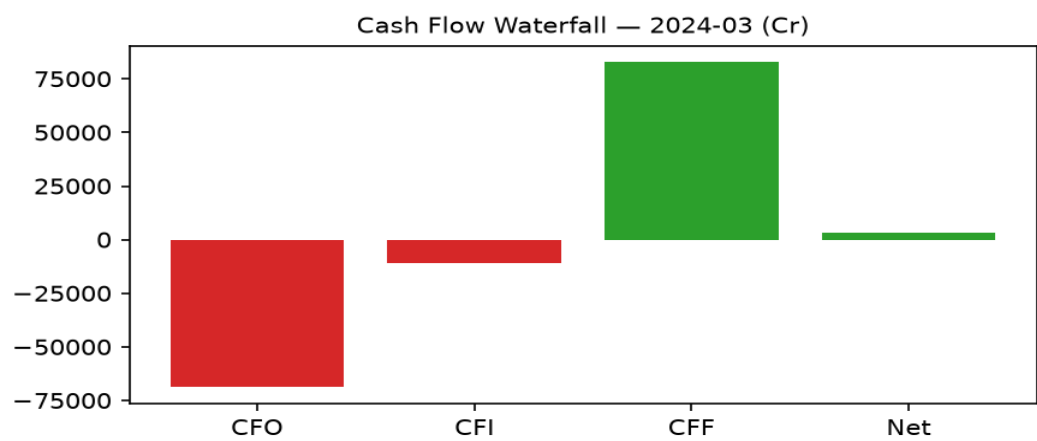
ROE & ROCE (10yr)



Balance Sheet Composition



Cash Flow (Latest Year)



Pros

- ✓ Consistently high return on equity above 20% demonstrates exceptional capital efficiency
- ✓ Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- ✓ Operating profit margin above 25% indicates strong pricing power and cost discipline
- ✓ Net profit compounding at above 20% over 5 years creates significant shareholder value
- ✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- ✗ Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- ✗ Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- ✗ Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility

Capital Allocation: Growth Funded by Debt